

CONSTRUCTION AGREEMENT

This Construction Agreement ("Agreement") is made and entered into as of March 10, 2024, by and between:

OWNER: Metro Real Estate Development LLC

Address: 789 Downtown Plaza, Suite 500, Chicago, IL 60601, USA

("Owner")

CONTRACTOR: BuildRight Construction Group Inc.

Address: 321 Industrial Parkway, Chicago, IL 60607, USA

("Contractor")

PROJECT: Construction of mixed-use commercial building at 1500 Michigan Avenue, Chicago, IL

RECITALS:

- A. Owner owns certain real property located at 1500 Michigan Avenue, Chicago, Illinois (the "Property").
- B. Owner desires to construct a 25-story mixed-use building containing retail, office, and residential units (the "Project").
- C. Contractor is a licensed general contractor qualified to perform the Work as defined herein.
- D. The parties desire to establish the terms under which Contractor shall perform the Work.

NOW, THEREFORE, in consideration of the mutual covenants set forth herein and other good and valuable consideration, the parties agree as follows:

ARTICLE 1: SCOPE OF WORK

1.1 The Work. Contractor shall provide all labor, materials, equipment, and services necessary to complete the Project in accordance with:

- a) Architectural drawings prepared by Morris & Associates Architects, dated February 1, 2024
- b) Engineering specifications prepared by Structural Solutions LLC, dated February 15, 2024
- c) All applicable building codes and regulations

d) Industry standards and best practices

1.2 Project Description. The Project consists of:

- a) Demolition and site preparation
- b) Foundation and structural steel erection
- c) Building envelope and facade installation
- d) MEP (Mechanical, Electrical, Plumbing) systems
- e) Interior finishes for all units
- f) Exterior landscaping and parking facilities

1.3 Schedule. Work shall commence on April 1, 2024, and reach Substantial Completion within 24 months, by April 1, 2026.

1.4 Substantial Completion. Defined as the stage when the Work is sufficiently complete so that Owner can occupy or utilize the Project for its intended use, subject only to minor punch-list items.

ARTICLE 2: CONTRACT PRICE AND PAYMENT

2.1 Contract Price. The total Contract Price is USD \$85,000,000 (Eighty-Five Million US Dollars), subject to approved change orders.

2.2 Payment Schedule. Owner shall make monthly progress payments based on the percentage of Work completed, as certified by the Project Architect, according to the following schedule:

- a) 10% (USD \$8,500,000) - Foundation and structural work
- b) 20% (USD \$17,000,000) - Structural steel and building envelope
- c) 25% (USD \$21,250,000) - MEP rough-in and exterior facade
- d) 25% (USD \$21,250,000) - Interior finishes and systems
- e) 15% (USD \$12,750,000) - Final finishes, landscaping, and punch-list
- f) 5% (USD \$4,250,000) - Retention, due 30 days after Final Completion

2.3 Retention. Owner shall retain 5% of each progress payment until Final Completion and acceptance.

2.4 Payment Terms. Progress payments are due within 30 days of submission of Contractor's application for payment and Architect's certification.

2.5 Late Payment. Payments not made within 30 days shall accrue interest at the rate of 1.5% per month.

ARTICLE 3: TIME OF PERFORMANCE

3.1 Commencement Date. Work shall commence no later than April 1, 2024.

3.2 Milestone Dates:

- a) Foundation completion: October 1, 2024
- b) Structural completion: June 1, 2025
- c) Building envelope completion: November 1, 2025
- d) Substantial Completion: April 1, 2026
- e) Final Completion: May 1, 2026

3.3 Liquidated Damages. TIME IS OF THE ESSENCE. If Contractor fails to achieve Substantial Completion by the scheduled date, Contractor shall pay Owner liquidated damages of USD \$50,000 per day for each day of delay, not as a penalty but as a reasonable estimate of Owner's actual damages.

3.4 Extension of Time. Contractor shall be entitled to an extension of time only for delays caused by:

- a) Owner-requested changes
- b) Unforeseen site conditions differing materially from those indicated in the contract documents
- c) Force majeure events as defined in Article 8
- d) Delays caused by separate contractors employed by Owner

3.5 No Concurrent Delay. If delays are concurrent (both party-caused and excusable), the excusable delay shall not excuse Contractor from liquidated damages.

ARTICLE 4: CHANGES AND EXTRA WORK

4.1 Change Orders. Owner may request changes to the Work by written change order. Contractor shall provide a cost and schedule impact estimate within 10 days.

4.2 Pricing. Changes shall be priced using the following markup structure:

- a) Labor: Actual cost plus 15%
- b) Materials: Actual cost plus 10%
- c) Equipment: Actual cost plus 12%
- d) Subcontractor work: Actual cost plus 8%

4.3 Authorization. No change shall be made without a fully executed change order. Work performed without authorization shall be at Contractor's risk.

4.4 Construction Change Directives. Owner may issue Construction Change Directives requiring immediate implementation, with pricing to be negotiated afterward.

ARTICLE 5: INSURANCE AND BONDS

5.1 Required Insurance. Contractor shall maintain:

- a) Commercial General Liability: USD \$10,000,000 per occurrence
- b) Workers' Compensation: Statutory limits
- c) Automobile Liability: USD \$5,000,000 combined single limit
- d) Builder's Risk: Full replacement value
- e) Professional Liability: USD \$5,000,000 (if design services provided)

5.2 Additional Insured. Owner shall be named as additional insured on all policies except Workers' Compensation.

5.3 Performance Bond. Contractor shall provide a Performance Bond in the amount of 100% of the Contract Price, guaranteeing faithful performance.

5.4 Payment Bond. Contractor shall provide a Payment Bond in the amount of 100% of the Contract Price, guaranteeing payment to subcontractors and suppliers.

5.5 Waiver of Subrogation. All insurance policies shall include a waiver of subrogation in favor of Owner.

ARTICLE 6: WARRANTIES

6.1 Warranty Period. Contractor warrants all Work against defects in materials and workmanship for a period of TWO (2) YEARS from the date of Substantial Completion.

6.2 Manufacturer Warranties. Contractor shall transfer all manufacturer warranties to Owner and assist in enforcing such warranties.

6.3 Warranty Exclusions. The warranty does not cover:

- a) Damage caused by Owner's misuse or failure to maintain
- b) Normal wear and tear
- c) Modifications made by Owner or others
- d) Force majeure events occurring after Substantial Completion

6.4 Extended Warranties. The following systems shall have extended warranties:

- a) Roof: 20 years
- b) HVAC systems: 5 years
- c) Structural elements: 10 years
- d) Waterproofing: 10 years

ARTICLE 7: INDEMNIFICATION

7.1 Contractor's Indemnity. Contractor shall indemnify, defend, and hold harmless Owner, Owner's agents, and the Architect from and against all claims, damages, losses, and expenses, including attorneys' fees, arising out of or resulting from:

- a) Performance of the Work by Contractor or its subcontractors
- b) Bodily injury, sickness, disease, or death of any person
- c) Injury to or destruction of tangible property
- d) Violations of law or building codes

- e) Patent, copyright, or trademark infringement

7.2 Scope of Indemnity. The indemnity obligation applies regardless of whether the claim arises in whole or in part from the negligence of Owner, except for claims arising solely from Owner's gross negligence or willful misconduct.

7.3 Survival. The indemnification obligations shall survive completion of the Work and termination of this Agreement.

ARTICLE 8: FORCE MAJEURE AND CASCADING OBLIGATIONS

8.1 Force Majeure Events. A "Force Majeure Event" means any event beyond a party's reasonable control, including:

- a) Acts of God, including earthquakes, floods, tornadoes, hurricanes, and severe weather
- b) War, terrorism, civil unrest, or insurrection
- c) Pandemic, epidemic, or quarantine restrictions
- d) Government actions, including changes in law, permit delays, or work stoppages
- e) Labor strikes or disputes (other than those specific to Contractor)
- f) Material shortages or supply chain disruptions affecting multiple contractors
- g) Utility failures or disruptions

8.2 Notice and Mitigation. The party claiming force majeure must:

- a) Provide written notice within 5 business days of the event
- b) Provide detailed documentation of the event and its impact
- c) Use reasonable efforts to mitigate the effects and resume performance
- d) Provide weekly updates on mitigation efforts and status

8.3 Effect on Performance. During a Force Majeure Event:

- a) The affected party's performance obligations are suspended
- b) Time for performance shall be extended day-for-day
- c) Contractor shall demobilize and secure the site as directed by Owner
- d) Owner is not obligated to make progress payments for work not performed

8.4 Cascading Obligations - CRITICAL. If a Force Majeure Event affects Contractor's ability to perform:

a) CONTRACTOR SHALL REMAIN LIABLE FOR ALL OBLIGATIONS TO SUBCONTRACTORS AND SUPPLIERS, including payments for materials ordered or work performed prior to the Force Majeure Event

b) CONTRACTOR SHALL NOT BE ENTITLED TO RECOVER FROM OWNER ANY COSTS INCURRED DURING THE FORCE MAJEURE PERIOD, including:

- i. Standby costs for labor and equipment
- ii. Demobilization and remobilization costs
- iii. Storage costs for materials
- iv. Extended general conditions
- v. Subcontractor delay claims

c) IF THE FORCE MAJEURE EVENT RESULTS IN MATERIAL PRICE INCREASES, CONTRACTOR SHALL BEAR ALL SUCH INCREASES WITHOUT ADJUSTMENT TO THE CONTRACT PRICE

d) CONTRACTOR'S INSURANCE AND BOND COSTS SHALL CONTINUE TO BE CONTRACTOR'S RESPONSIBILITY

8.5 Ripple Effect. If Contractor's subcontractors or suppliers claim force majeure:

- a) Contractor remains fully responsible for their performance
- b) Contractor must replace non-performing subcontractors at no cost to Owner
- c) Owner is not liable for any subcontractor or supplier claims

8.6 Extended Force Majeure. If a Force Majeure Event continues for more than 180 days, either party may terminate this Agreement. Upon such termination:

a) Owner shall pay Contractor only for Work completed and accepted prior to the Force Majeure Event

b) Contractor shall deliver all materials, equipment, and documents to Owner

c) Contractor shall not be entitled to any termination fee or lost profits

d) ALL SUBCONTRACTOR AND SUPPLIER OBLIGATIONS REMAIN CONTRACTOR'S RESPONSIBILITY

8.7 No Excuse for Quality. Force Majeure does not excuse Contractor from meeting quality standards or warranty obligations for Work performed.

ARTICLE 9: TERMINATION

9.1 Termination for Cause. Owner may terminate this Agreement for cause if:

- a) Contractor fails to perform the Work in accordance with the contract documents
- b) Contractor fails to meet milestone deadlines by more than 30 days
- c) Contractor becomes insolvent or files for bankruptcy
- d) Contractor abandons the Work
- e) Contractor repeatedly fails to pay subcontractors or suppliers

9.2 Termination for Convenience. Owner may terminate this Agreement for convenience at any time upon 15 days written notice. Upon such termination:

- a) Contractor shall stop Work as directed by Owner
- b) Owner shall pay Contractor for Work completed, plus reasonable costs of termination
- c) Owner may complete the Work using other contractors
- d) Contractor shall cooperate in the transition

9.3 Contractor's Termination Right. Contractor may terminate only if:

- a) Owner fails to make payment within 60 days of due date, or
- b) Work is stopped for more than 120 days through no fault of Contractor

9.4 Effect of Termination. Upon termination:

- a) All warranties for completed Work remain in effect
- b) Contractor shall provide as-built documents and O&M manuals for completed portions
- c) Performance and Payment Bonds remain in effect for completed Work
- d) Contractor remains liable for defective Work

ARTICLE 10: SAFETY

10.1 Safety Program. Contractor shall maintain a comprehensive safety program complying with OSHA regulations and industry standards.

10.2 Site Safety. Contractor is solely responsible for safety of the Work site, including all workers, visitors, and adjacent properties.

10.3 Safety Violations. Owner may stop Work immediately if Contractor violates safety requirements. Contractor shall not be entitled to time extension or additional compensation for such stoppages.

ARTICLE 11: DISPUTE RESOLUTION

11.1 Governing Law. This Agreement shall be governed by the laws of the State of Illinois.

11.2 Initial Resolution. Disputes shall first be submitted to the Project Architect for initial determination within 10 days.

11.3 Mediation. If the Architect's determination is unsatisfactory, disputes shall be submitted to non-binding mediation.

11.4 Litigation. If mediation fails, disputes may be resolved through litigation in the Circuit Court of Cook County, Illinois.

11.5 Attorneys' Fees. The prevailing party shall be entitled to recover reasonable attorneys' fees and costs.

11.6 Continued Performance. Except for failure to pay, Contractor shall continue performing during disputes.

ARTICLE 12: GENERAL PROVISIONS

12.1 Assignment. Contractor may not assign this Agreement without Owner's prior written consent.

12.2 Subcontracts. Contractor shall submit all proposed major subcontractors to Owner for approval.

12.3 Permits and Licenses. Contractor shall obtain all necessary permits and licenses at Contractor's expense.

12.4 Inspection Rights. Owner and Owner's representatives shall have access to the Work at all times.

12.5 Documents. Upon completion, Contractor shall deliver complete as-built drawings, O&M manuals, and warranties.

12.6 Notices. All notices shall be in writing and sent to the addresses first stated above.

12.7 Entire Agreement. This Agreement supersedes all prior agreements and understandings.

12.8 Amendments. Amendments must be in writing and signed by both parties.

12.9 Severability. If any provision is invalid, the remaining provisions remain in effect.

12.10 Survival. Warranty, indemnification, and confidentiality provisions survive completion and termination.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

OWNER: Metro Real Estate Development LLC

By: _____

Name: Robert Martinez

Title: Managing Director

Date: March 10, 2024

CONTRACTOR: BuildRight Construction Group Inc.

By: _____

Name: Jennifer Taylor

Title: President

Date: March 10, 2024